

you'll probably need medical treatment more than once during your lifetime. Anything substantially less than \$1 million isn't enough, and if you plan to keep the policy for a while (for example, if you're more or less permanently self-employed), think hard before settling for less than \$2 million.

- **It doesn't have unreasonable exclusions and limits.** Some individual policies will not cover preexisting conditions like asthma or recurring knee problems. Others won't cover these problems for the first year or so of the policy, or they will charge astronomically high premiums.
- **It pays for any prescriptions you need.** Medicine for a condition like high blood pressure, asthma, or diabetes can be expensive. Even if you're currently healthy, think twice before signing up for any policy that looks cheap but won't help you with your ongoing pharmacy bills if you do get sick.

Before You Buy an Individual Health Policy

Depending on your current situation, you may have some alternatives to buying an expensive individual policy. Here are a few to consider:

- **A state-run option.** A few states have created programs to provide low-cost health insurance to people who otherwise might not be able to afford it. To find out if your state offers such a program, call your state insurance department (Figure 8-1).
- **Your parents' plan.** Several states allow children to be covered until age 26; New Jersey will give you until age 30. (For a list, check out statecoverage.net/matrix/dependentcoverage.htm.) Otherwise, if you're not in school, chances are your coverage has already stopped. If it hasn't, there's a way to extend it. Under federal law, you can continue to receive